

Visa Inc. (NYSE: V) - Financial Institutions Equity Research Report

Sector: Financial Institutions / Payments

Coverage Type: Portfolio research project / simulated institutional equity research

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Date: June 12, 2026

Recommendation: Outperform

Current Price: \$322.39

12-Month Target Price: \$380

Implied Upside: ~17.9%

Market Cap: ~\$660.9bn

Primary Valuation Method: P/E and EV/EBITDA peer multiple triangulation, supported by operating KPI trend analysis

Important note: This report is an educational portfolio sample designed to demonstrate investment banking, FIG, and equity research analytical work. It is not investment advice.

1. Executive Summary

Visa is one of the highest-quality franchise assets in global financial services: an asset-light, high-margin, cash-generative payments network with durable competitive advantages from acceptance ubiquity, issuer/acquirer connectivity, tokenization, fraud/risk systems, brand trust, and global scale. The company is not a lender and does not bear traditional consumer credit risk; it monetizes payment flows primarily through service revenue, data processing revenue, international transaction revenue, value-added services, and licensing/other revenue, net of client incentives.

The investment case is that Visa remains a structural compounder despite a contested payments environment. The core network continues to benefit from cash displacement, ecommerce growth, cross-border travel and commerce, and greater digitization of business payments. The second leg of the thesis is the increasingly important value-added services business, which reached nearly \$11bn of FY2025 revenue and has grown at a 20%+ CAGR since 2021 according to Visa's annual report. The third leg is Visa's ability to adapt to new rails - including real-time payments, stablecoins, tokenized credentials, and AI/agent commerce - by positioning itself as the trusted security, authentication, routing, tokenization, and interoperability layer rather than a card-only network.

We initiate this simulated portfolio coverage with an **Outperform** rating and an illustrative **\$380** 12-month target price. The target is based on applying a 26.5x multiple to estimated FY2027E non-GAAP EPS of \$14.35. The multiple reflects Visa's above-market revenue durability, high incremental margins, strong free-cash-flow conversion, and large capital return program, while acknowledging regulatory and merchant-fee risk.

2. Company Overview

Business model

Visa operates a global electronic payments network that connects consumers, merchants, financial institutions, businesses, fintechs, and governments. Its core economic function is to authorize, clear, and settle payment transactions while providing fraud prevention, tokenization, dispute management, authentication, data, advisory, and other value-added capabilities. Visa's model is structurally different from banks and card issuers: the company does not issue cards, extend credit, set cardholder rates, or bear consumer credit risk. Instead, it earns fees from network usage, transaction processing, cross-border activity, and adjacent services.

Visa describes itself as a "network of networks" and reported approximately 175 million merchant locations, nearly 14,500 financial institution partners, and reach across more than 200 countries and territories. In FY2025, Visa reported \$40.0bn of net revenue, \$14.2tn of payments volume, 257.5bn processed transactions on Visa's networks, and 4.9bn payment credentials.

Revenue streams

Visa's reported revenue categories are:

Revenue category	FY2025 revenue / impact	Description
Service revenue	\$17.5bn	Fees tied to client usage of Visa products; primarily
Data processing revenue	\$20.0bn	Authorization, clearing, settlement, network access
International transaction revenue	\$14.2bn	Cross-border processing and currency-conversion-r
Other revenue	\$4.1bn	Value-added services, license fees, account holder
Client incentives	(\$15.8bn)	Contra-revenue paid to clients, sellers, and partner
Net revenue	\$40.0bn	Revenue net of client incentives.

Value-added services cut across multiple line items and are increasingly central to the story. Visa disclosed that value-added services revenue was **\$10.9bn in FY2025**, up from \$8.8bn in FY2024 and \$7.2bn in FY2023.

Geographic exposure

Visa is meaningfully international. In FY2025, U.S. net revenue was \$15.6bn and international net revenue was \$24.4bn, meaning over 60% of reported net revenue came from outside the United States. This creates a global compounding opportunity, especially in markets with high cash penetration, but also exposes Visa to foreign exchange, local regulation, payment-sovereignty initiatives, and region-specific macro shocks.

Competitive positioning

Visa's competitive moat rests on five pillars:

1. **Acceptance and issuer scale:** Merchants want access to cardholders; issuers want a network accepted globally. This two-sided network effect is difficult to replicate.
2. **Security and trust:** Visa's brand and risk infrastructure reduce transaction friction for consumers, issuers, acquirers, and merchants.
3. **Data advantage:** The company processes hundreds of billions of transactions, enabling fraud modeling, authorization optimization, and value-added analytics.
4. **Tokenization:** Visa tokens help replace sensitive credentials with secure digital identifiers, supporting ecommerce, wallets, and agentic commerce.
5. **Distribution through partners:** Banks, fintechs, wallets, marketplaces, and merchants integrate with Visa instead of rebuilding global infrastructure.

3. Industry Overview

Industry structure

The payments industry consists of several overlapping layers:

Layer	Participants	Economics
Card networks	Visa, Mastercard, Amex, Discover	Network fees, processing
Issuers	JPMorgan, Citi, Capital One, Bank of America, fintech issuers	Interest income, interch
Acquirers / processors	Fiserv, Global Payments, Worldpay, Adyen, Stripe, Shift4	Merchant acquiring, gat
Alternative rails	ACH, RTP, FedNow, UPI, PIX, SEPA, A2A wallets, stablecoins	Often lower direct trans
Wallets / platforms	Apple Pay, PayPal, Cash App, PayPay, Mercado Pago, super apps	Front-end consumer rel

Card networks sit at the center of the ecosystem but face pressure from merchants, regulators, domestic payment schemes, real-time payment systems, account-to-account networks, stablecoin providers, and vertically integrated fintech platforms.

Growth drivers

The major secular drivers are:

- **Cash displacement:** Visa states that over half of the more than \$40tn global consumer spend opportunity remains outside card payments in cash, check, legacy ACH, A2A/RTP, or other forms.
- **Ecommerce and card-not-present transactions:** Digital commerce increases demand for tokenization, fraud tools, authorization optimization, and secure checkout.
- **Cross-border travel and commerce:** Cross-border volume is high value because it drives international transaction revenue and often carries stronger yield.
- **Commercial and B2B payments digitization:** Business payments remain less digitized than consumer payments. Virtual cards, supplier payments, fleet, travel, and accounts payable automation remain long-run opportunities.
- **Value-added services:** Fraud, risk, issuing, acceptance, advisory, loyalty, marketing, dispute management, and data products create a second monetization layer on top of the core network.
- **AI and agentic commerce:** AI agents may initiate transactions, split purchases, manage approvals, and automate B2B workflows. Visa is positioning tokenization, permissions, agent registries, and fraud scoring as infrastructure for this shift.
- **Stablecoins and programmable money:** Stablecoins can pressure traditional card economics, but also create demand for on/off ramps, settlement interoperability, compliance, wallets, and tokenized credentials.

Regulatory considerations

The payments industry is heavily scrutinized because it touches merchants, consumers, banks, and national payment infrastructure. Key regulatory themes include:

- Interchange and merchant-fee litigation.
- Surcharging and honor-all-cards rules.
- Data privacy, cybersecurity, and AI governance.
- Cross-border data localization and payment-sovereignty rules.
- Stablecoin regulation and bank participation in digital settlement.
- Antitrust scrutiny of network rules, routing, wallet restrictions, and merchant acceptance practices.

Regulation is a real risk to Visa's valuation multiple because the company's premium economics are highly visible and politically sensitive. However, Visa's actual revenue is not interchange itself; the company earns fees from issuers/acquirers and services. This distinction matters in interviews.

Industry risks

The main industry-level risks are: regulation of merchant fees, domestic payment schemes, alternative lower-cost rails, macro-driven spending deceleration, cross-border travel shocks, fintech competition, cyber incidents, and merchant efforts to route around traditional card rails.

4. Financial Analysis

Revenue growth trends

Visa grew net revenue from \$32.7bn in FY2023 to \$40.0bn in FY2025, a two-year CAGR of approximately 10.7%. Growth has been driven by higher processed transactions, payments volume, cross-border volume, pricing, and value-added services, partially offset by increasing client incentives.

\$ in billions except KPIs	FY2023	FY2024	FY2025
Net revenue	32.7	35.9	40.0
YoY growth	-	10.0%	11.3%
Payments volume	12.3tn	13.2tn	14.2tn
Processed transactions	212.6bn	233.8bn	257.5bn
Payment credentials	4.3bn	4.6bn	4.9bn

Q2 FY2026 reinforced the growth profile. Visa reported net revenue of \$11.2bn, up 17% YoY, with payments volume up 9%, total cross-border volume up 12%, cross-border volume excluding intra-Europe up 11%, and processed transactions of 66.1bn, up 9%.

Margin analysis

Visa's margin structure is exceptional because incremental transaction volume has limited direct cost. The company spends heavily on technology, personnel, marketing, sponsorships, litigation, and client-facing services, but the core model remains asset-light.

\$ in billions	FY2023	FY2024	FY2025
Net revenue	32.7	35.9	40.0
GAAP operating expenses	11.7	12.3	16.0
GAAP operating margin	64.3%	65.7%	60.0%
Non-GAAP operating expenses	10.5	11.6	12.9
Non-GAAP operating margin	67.9%	67.7%	67.7%
GAAP net income	17.3	19.7	20.1
Non-GAAP net income	18.3	20.4	22.5

GAAP margin was affected by litigation provisions and other items. The more relevant underlying margin lens is non-GAAP operating margin, which remained around 68% in FY2025 despite value-added services becoming a larger part of the business. This is important: if VAS growth came at materially lower margins, Visa's consolidated margin would compress. Management argued on Q2 FY2026 that VAS has scaled while preserving overall Visa margins.

Operating leverage

Visa's operating leverage comes from:

- High fixed-cost absorption across a global network.
- Pricing power in selected service categories.
- Mix shift into cross-border and value-added services.
- Growth in tokenized ecommerce and digital credentials.
- Share repurchases reducing diluted share count.

The key question for analysts is whether the VAS mix shift dilutes or reinforces network margins. The current evidence is favorable: VAS is growing faster than the company average while consolidated non-GAAP margins remain resilient.

Cash flow analysis

Visa is a free-cash-flow compounder. It has limited capital intensity compared with banks, lenders, and merchant processors. The company reinvests in technology, security, acquisitions, tokenization, AI, stablecoin settlement, and partner incentives while returning substantial capital through buybacks and dividends.

In Q2 FY2026, Visa returned \$9.2bn to shareholders through repurchases and dividends and announced a new \$20.0bn multi-year share repurchase authorization. In the quarter, Visa repurchased approximately 25 million Class A shares at an average cost of \$320.66 for \$7.9bn.

Capital allocation

Visa's capital allocation priorities are:

1. Invest organically in network reliability, security, data, AI, tokenization, and new payment capabilities.
2. Use M&A to add technical capabilities and regional infrastructure, such as Pismo, Featurespace, Prisma, and Newpay.
3. Maintain balance sheet flexibility.
4. Return excess capital through buybacks and dividends.

The buyback is strategically important because Visa can convert high free-cash-flow generation into EPS growth even when revenue growth normalizes.

Return metrics

Visa's return profile is structurally high. The company benefits from asset-light infrastructure, negative/low working capital intensity, high margins, and limited credit exposure. In a FIG interview, the right framing is: Visa is financially classified within payments/financial infrastructure, but economically resembles a high-margin technology network more than a bank.

5. Valuation

Methodology

The appropriate valuation approach combines:

1. **P/E multiple:** Most relevant for mature, high-margin, cash-generative payment networks with strong earnings visibility.
2. **EV/EBITDA multiple:** Useful for comparing Visa with Mastercard and processors across different capital structures.
3. **FCF yield / implied buyback capacity:** Useful because capital return is a major part of the equity story.
4. **Scenario analysis:** Necessary because regulatory or technology disruption can change the correct multiple materially.

A DCF could be included in a full model, but for recruiter purposes, a clean comp-driven target with transparent assumptions is more defensible than an over-engineered DCF using false precision.

Comparable company analysis

Company	Ticker	Business model	Market cap	P/E snap
Visa	V	Global card network / value-added services	~\$660.9bn	~29.7x TTM calcula
Mastercard	MA	Global card network / services	~\$437.6bn	~29.7x TTM calcula
American Express	AXP	Closed-loop issuer/network	~\$223.3bn	~29.7x TTM calcula
Fiserv	FI/FISV	Merchant acquiring, processing, issuer processing	~\$28.3bn	~29.7x TTM calcula
Global Payments	GPN	Merchant acquiring / software / Worldpay	~\$18bn	~24.1x / vola
Shift4	FOUR	Merchant acquiring / hospitality / vertical software	~\$6bn	~23.7x / vola

Interpretation: Visa and Mastercard deserve premium multiples because they are global network infrastructure businesses with very high margins, limited credit risk, strong pricing power, and enormous free cash flow. Merchant processors and acquirers trade at lower or more volatile multiples because they face more direct merchant pricing pressure, integration risk, software execution risk, and in some cases higher leverage.

Target price bridge

Item	Assumption
FY2025 non-GAAP EPS	\$11.47
FY2026E EPS growth	~13%
FY2026E non-GAAP EPS	\$12.95
FY2027E EPS growth	~11%
FY2027E non-GAAP EPS	\$14.35
Target P/E multiple	26.5x
Implied target price	~\$380

The target multiple is below where a scarcity-quality network compounder can trade in a lower-rate, risk-on market, but above the broader market and above lower-quality processors. It reflects Visa's premium quality while accounting for regulatory and alternative-rail risks.

Scenario analysis

Scenario	Assumptions
Bear	Revenue growth slows to high-single-digits; incentives rise; regulatory pressure increases; multiple com
Base	Low-double-digit revenue growth; VAS remains high-growth; margins stable; 26.5x FY2027E EPS.
Bull	Cross-border remains strong; VAS grows 20%+; AI/stablecoin products become visible revenue drivers;

6. Investment Thesis

Base case

Visa should continue compounding earnings at a low-teens rate through a mix of low-double-digit revenue growth, stable high margins, disciplined expense growth, and buybacks. The core network remains resilient, cross-border activity is still a high-yield growth lever, and VAS is becoming a larger and faster-growing profit pool.

Bull case

The bull case is that Visa becomes the trust layer for next-generation commerce. If AI agents create more transactions, if tokenization becomes the default ecommerce credential layer, and if stablecoins expand through Visa-enabled on/off ramps and settlement, Visa can defend and expand its role despite alternative rails. Under this case, VAS and network data products become a larger share of revenue without material margin dilution.

Bear case

The bear case is regulatory and technological compression. If merchant-fee settlement pressure, routing regulation, domestic schemes, account-to-account rails, real-time payments, and stablecoins reduce the economics or volume growth of card networks, Visa's multiple could compress. If client incentives rise faster than gross revenue, net revenue growth could decelerate. If VAS growth carries lower margins than management suggests, operating leverage could weaken.

7. Risk Analysis

Competitive risks

- Mastercard remains Visa's closest global competitor and can match many network, data, and value-added service capabilities.
- Domestic schemes, account-to-account networks, real-time payments, and wallets can pressure card share in specific markets.
- Merchant acquirers and platforms may seek direct routing, alternative rails, and proprietary checkout relationships.

Regulatory risks

- Interchange and merchant-fee litigation can pressure ecosystem economics even if Visa itself does not receive interchange.
- Payment-sovereignty initiatives can require local processing, data localization, or domestic scheme preference.
- AI, cybersecurity, privacy, and stablecoin rules may increase compliance costs or restrict data usage.

Macroeconomic risks

- Consumer spending weakness would reduce payment volume growth.
- Travel shocks, geopolitical conflict, and FX volatility can pressure cross-border revenue.
- Inflation can support nominal volume, but can also hurt discretionary spending and merchant economics.

Technology risks

- Stablecoins may reduce reliance on traditional card rails for certain cross-border or B2B flows.
- AI agents may create new fraud vectors, liability issues, and authentication challenges.
- Cyberattacks or network failures would be high-severity risks for trust and brand.

8. Key Performance Indicators

KPI	Why it matters
Payments volume	Primary driver of service revenue and a proxy for consumer/commercial activity.
Processed transactions	Primary driver of data processing revenue and network activity.
Cross-border volume excluding intra-Europe	High-yield driver of international transaction revenue.
Client incentives as % of gross revenue	Measures pricing pressure and cost of retaining/winning issuer/acquirer.
Value-added services revenue	Tracks Visa's ability to monetize beyond core network transactions.
Tokenized transaction penetration	Indicates Visa's relevance in digital wallets, ecommerce, and agent commerce.
Visa Direct transaction growth	Captures non-carded money movement and push-payment expansion.
Non-GAAP operating margin	Tests whether faster-growing services dilute or preserve the Visa margin.
Free cash flow / buybacks	Converts operating performance into EPS growth and shareholder return.
Regulatory/legal accruals	Indicates potential pressure from merchant litigation and network risk.

9. Earnings Call Analysis - Q2 FY2026

Key management commentary

Management characterized Q2 FY2026 as Visa's strongest revenue growth period since 2022, supported by resilient consumer spending, payments volume growth, cross-border activity, processed transactions, commercial/money movement, and value-added services. Management highlighted four future growth drivers: consumer/commercial/money movement, AI and agent commerce, stablecoins/blockchain, and VAS.

Strategic priorities

1. **Consumer payments:** Win with fintechs, wallets, ecommerce, affluent cards, and international adoption.
2. **Commercial and money movement:** Expand virtual cards, Visa Direct, travel/fleet, supplier payments, and B2B workflows.
3. **Value-added services:** Grow fraud, risk, issuing, acceptance, advisory, marketing, loyalty, and dispute products.
4. **AI and agent commerce:** Build tokenized, permissioned infrastructure for AI agents to transact.
5. **Stablecoins:** Serve as an interoperability layer through on/off ramps, settlement, and blockchain infrastructure.

Areas of concern

- Management acknowledged near-term uncertainty from the Middle East conflict, particularly in cross-border travel spend in the CEMEA region.
- Incentive growth is expected to step up in Q3 as Visa laps a lower incentive-growth period.
- Payments nationalism and sovereignty concerns remain relevant, especially in Europe and other non-U.S. markets.

Forward-looking observations

Management raised the FY2026 outlook to low-double-digit to low-teens net revenue growth and low-teens adjusted EPS growth. The call also suggested that FIFA World Cup-related marketing services and value-added services demand could support incremental revenue.

The most strategically important point is that Visa is reframing itself as a payments hyperscaler and trust layer for future commerce, not merely a card network. That framing is crucial for a recruiting interview because it shows you understand both the core financial engine and the strategic debate.

10. Visualizations Included

The supporting PDF and Excel model include:

- Net revenue and non-GAAP operating margin trend.
- Payments volume and processed transaction trend.
- U.S. vs. international net revenue mix.
- Peer P/E comparison.
- Bear/base/bull scenario valuation output.

Exhibit 1: Revenue and Operating Margin Trend

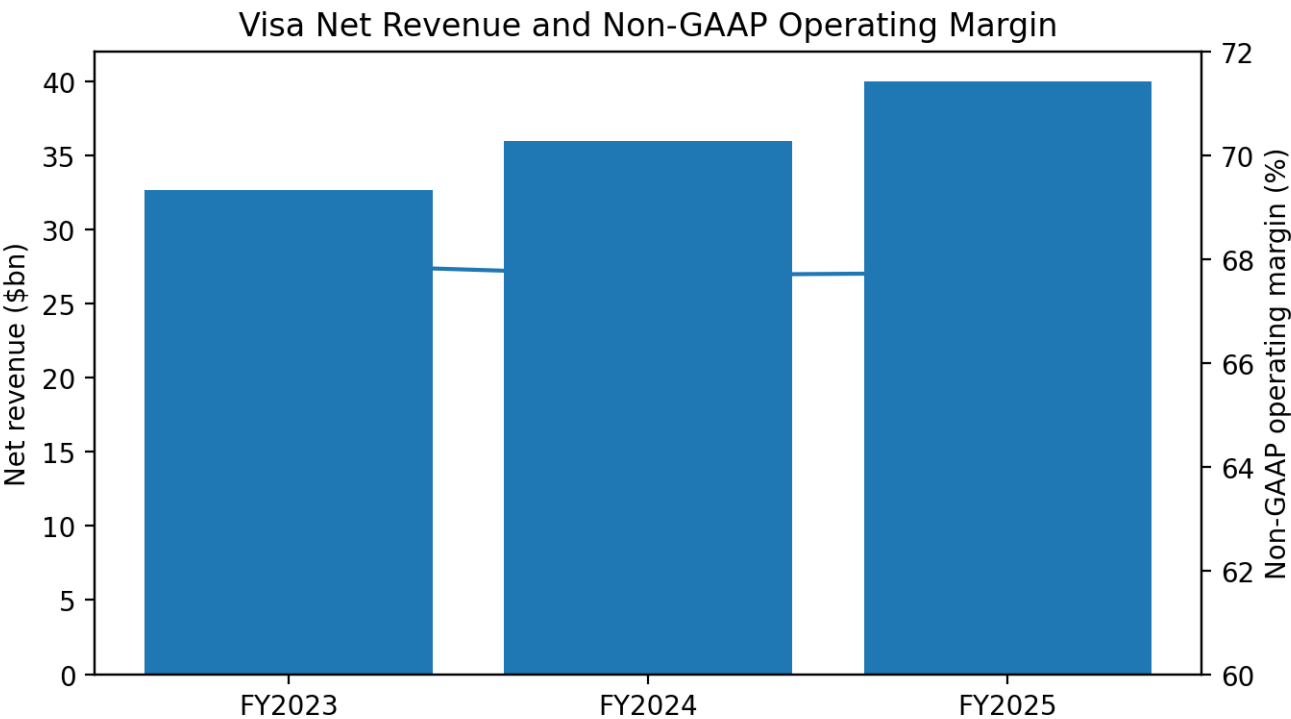


Exhibit 2: Volume and Transaction Drivers

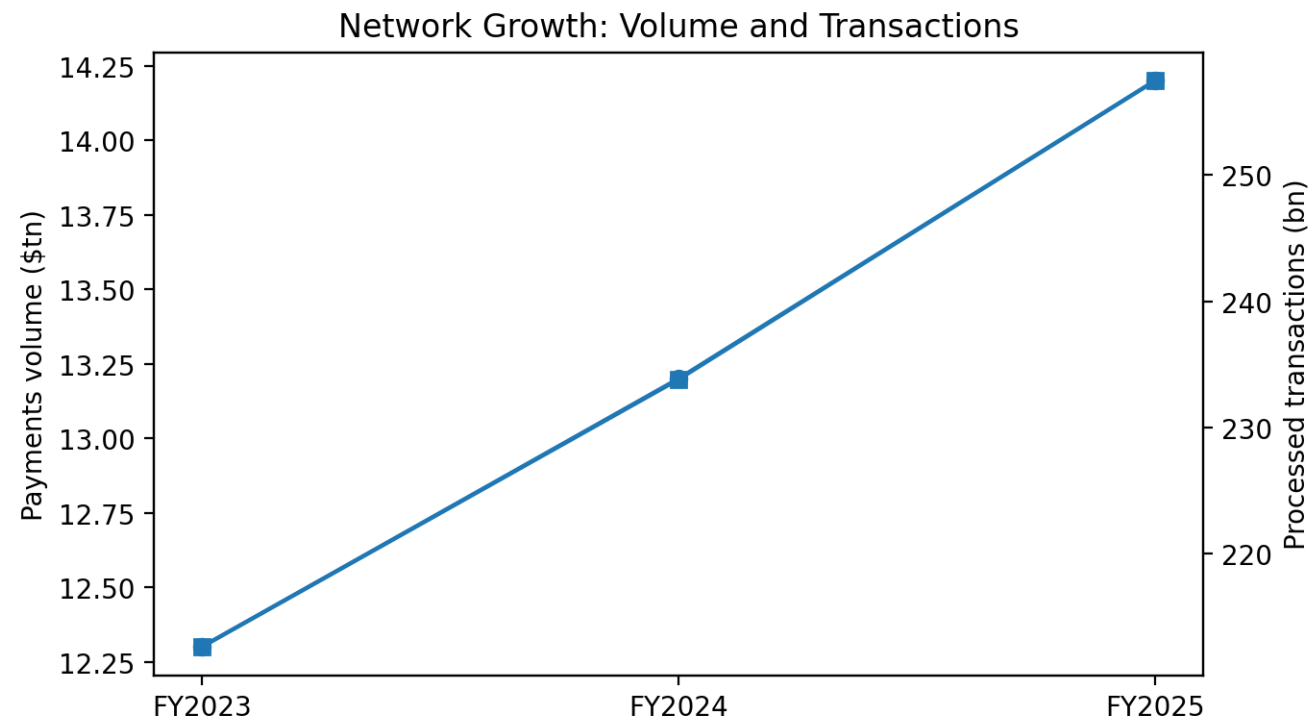


Exhibit 3: Geographic Revenue Mix

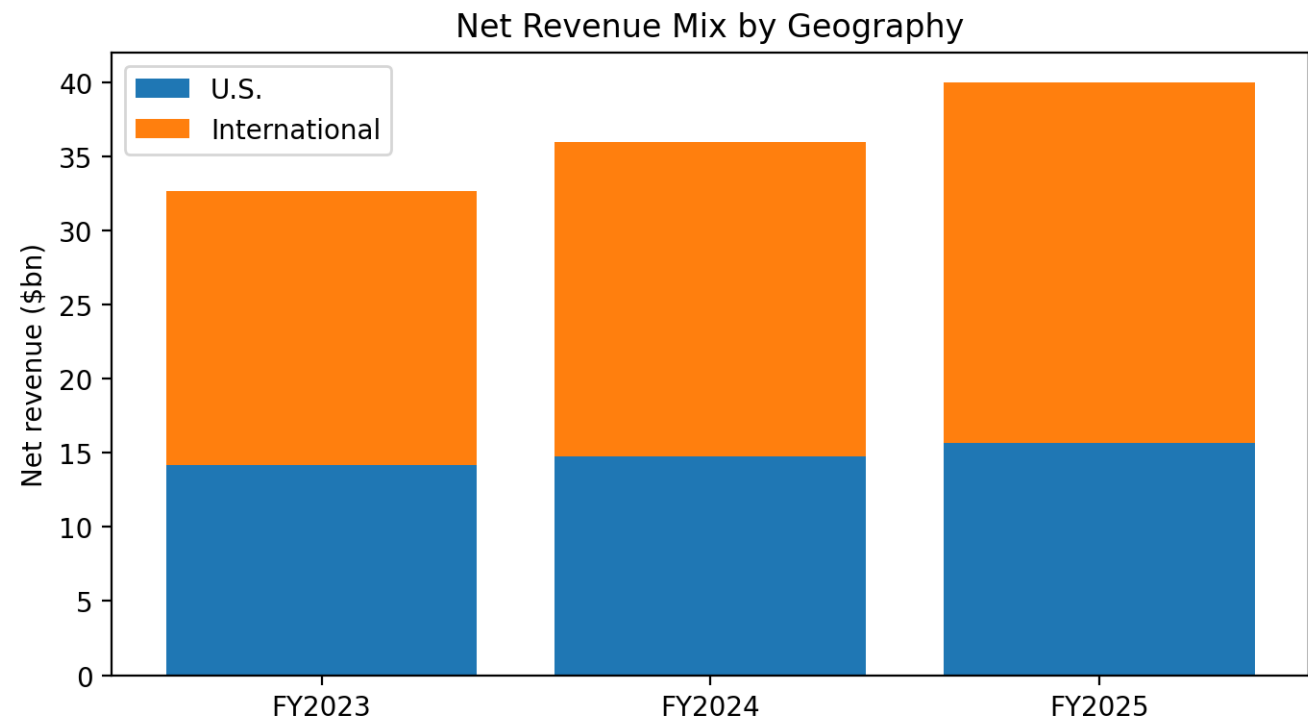


Exhibit 4: Peer P/E Comparison

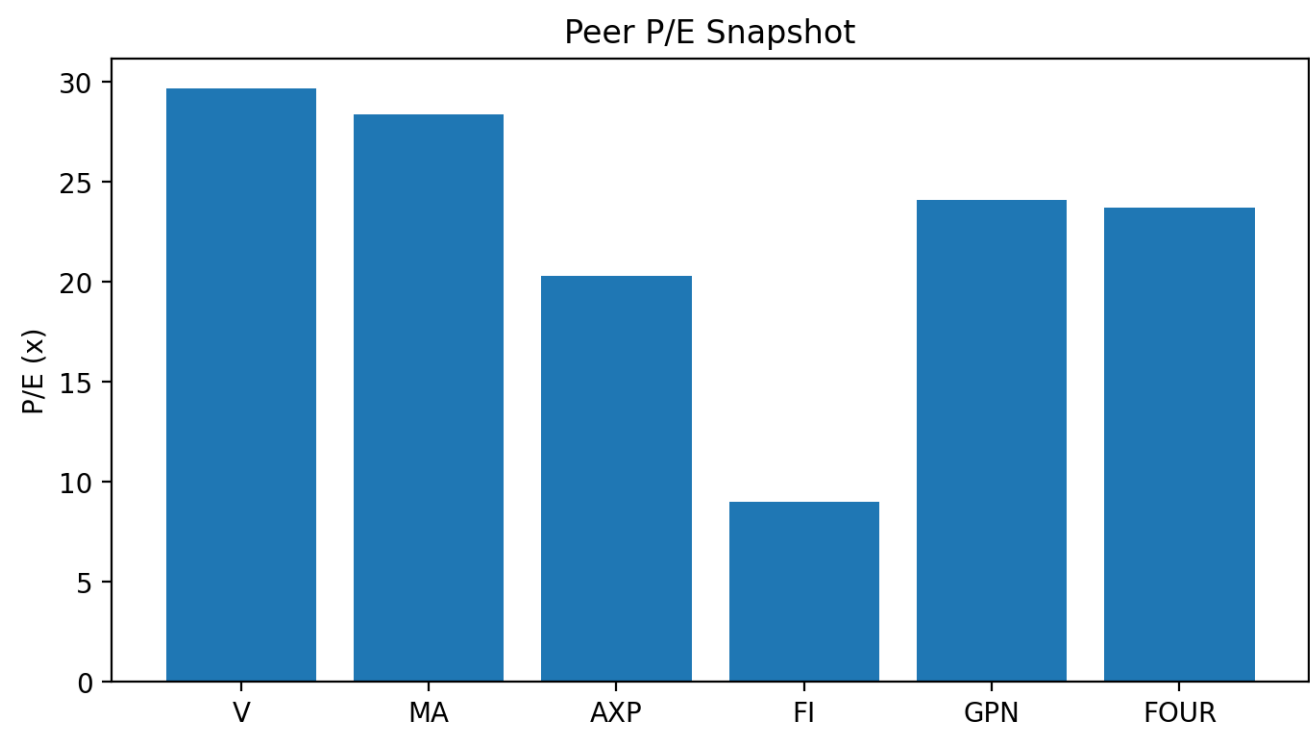
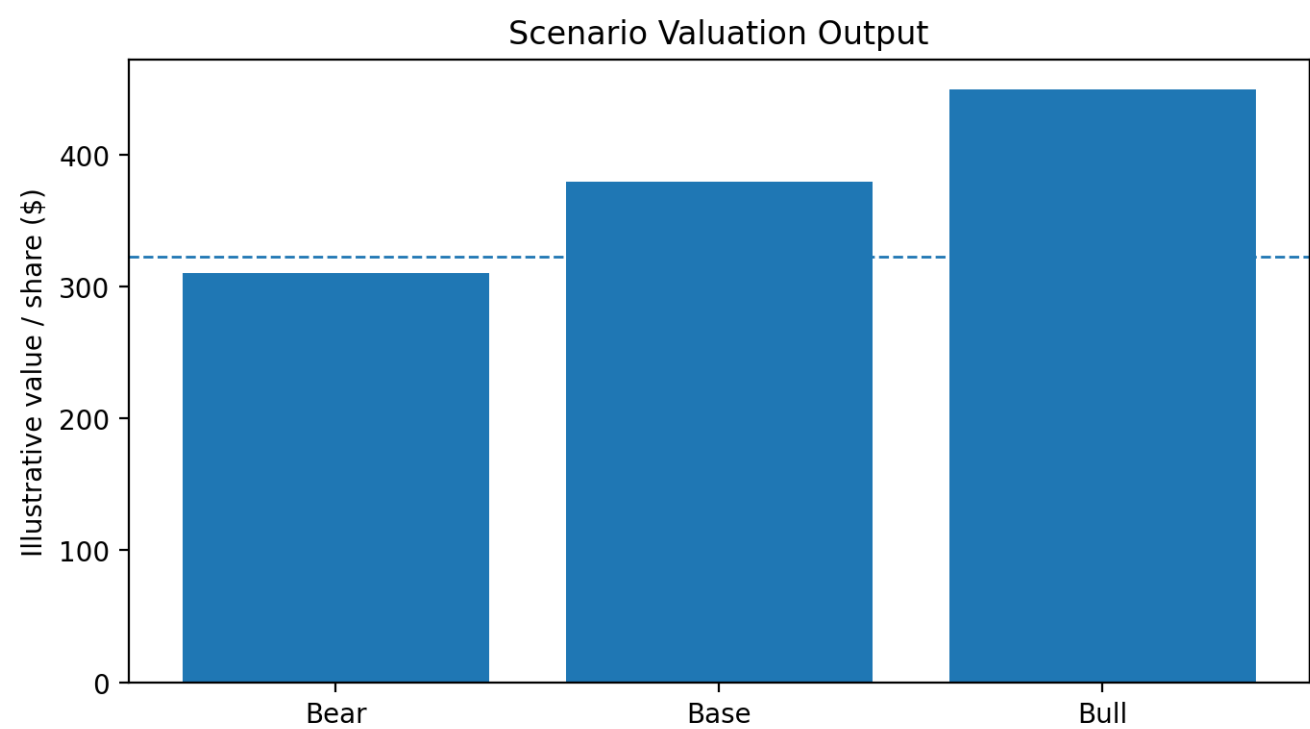


Exhibit 5: Bear / Base / Bull Scenario Output



11. GitHub Repository Structure

visa-fig-equity-research/
├── README.md

report/	
Visa_FIG_Equity_Research_Report.pdf	
Visa_FIG_Equity_Research_Report.md	
figures/	
revenue_margin.png	
drivers.png	
geography.png	
peer_pe.png	
scenario.png	
model/	
Visa_FIG_Research_Model.xlsx	
data/	
raw/	
visa_10k_fy2025.pdf	
visa_q2_fy2026_earnings_release.html	
visa_q2_fy2026_earnings_call_transcript.pdf	
peer_market_data.csv	
processed/	
historical_financials.csv	
operating_kpis.csv	
peer_comps.csv	
sources.md	
notebooks/	
visa_research_analysis.ipynb	
presentation/	
optional_investment_committee_summary.pdf	

12. Supporting Excel Model Structure

Sheet	Purpose
Cover	Recommendation, target price, current price, date, and disclaimer.
Sources	Source URLs, date accessed, and notes.
Historical Financials	FY2023-FY2025 revenue categories, expenses, net income, margins, and KPIs.
Operating KPIs	Payments volume, processed transactions, cross-border metrics, credentials, VAS.
Forecast	FY2026E-FY2028E assumptions, revenue build, margin forecast, EPS build.
Valuation	P/E target, EV/EBITDA cross-check, scenario analysis.
Peer Comps	Visa, Mastercard, American Express, Fiserv, Global Payments, Shift4.
Charts	Visual summary for the report.
Interview Prep	Potential questions and model-driven answers.

13. Supporting Financial Datasets to Collect

1. Visa 10-Ks for FY2021-FY2025.
2. Visa 10-Qs and earnings releases for FY2026 YTD.
3. Earnings call transcripts and presentations.
4. Daily stock prices for Visa and peers.
5. Consensus revenue, EPS, EBITDA, and FCF estimates if available through FactSet, Capital IQ, Bloomberg, Visible Alpha, Koyfin, or public estimates.
6. Peer historical financials: Mastercard, American Express, Fiserv, Global Payments, Shift4, Adyen, PayPal, Block.
7. Industry data: global payments revenue, card purchase volume, ecommerce mix, cross-border travel indicators, cash usage, tokenization adoption, real-time payment adoption.
8. Regulatory/litigation timeline: interchange, merchant settlement, antitrust cases, EU and U.S. developments.

9. Macro indicators: consumer spending, retail sales, travel volumes, FX volatility, GDP growth, inflation.
 10. Alternative rail data: ACH/RTP/FedNow/UPI/PIX volumes, stablecoin settlement volumes, wallet penetration.
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14. README.md Content for GitHub

Visa FIG Equity Research Report

This repository contains a professional-style equity research report on Visa Inc. (NYSE: V), built

Project Objective

The goal is to demonstrate the ability to analyze a financial institutions / payments company us

Contents

- ``report/``: Full research report in PDF and Markdown.
- ``model/``: Supporting Excel valuation and operating model.
- ``data/``: Source documents, processed financial data, peer comps, and research notes.
- ``notebooks/``: Optional analysis scripts or notebooks used to clean and visualize data.
- ``presentation/``: Optional investment committee summary.

Key Outputs

- Investment recommendation and 12-month target price.
- Historical financial analysis.
- Revenue stream and geographic mix analysis.
- Peer comparable company analysis.
- Bull/base/bear scenario valuation.
- KPI framework for Visa and payments networks.
- Earnings call analysis and recruiting Q&A.

Disclaimer

This project is for educational and recruiting-portfolio purposes only. It is not investment adv

15. Resume Bullet Points

- Built an institutional-style equity research report on Visa Inc. covering business model, industry structure, revenue drivers, margin profile, KPIs, earnings commentary, peer valuation, and bull/base/bear investment cases.
 - Developed a supporting Excel valuation model with historical financials, payments KPIs, peer comps, scenario analysis, and a 12-month target price framework using P/E and EV/EBITDA methodologies.
 - Analyzed Visa's payments network economics, value-added services growth, cross-border exposure, client incentives, and regulatory risk to produce a professional FIG/payments-sector investment thesis.
 - Synthesized 10-K disclosures, quarterly earnings releases, earnings call commentary, market data, and industry research into a recruiter-ready portfolio project for investment banking and equity research roles.
 - Created visual dashboards and charts illustrating revenue growth, operating leverage, geographic revenue mix, transaction volume trends, and comparable-company valuation.
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16. Interview Questions and Strong Answers

Q1. Why did you choose Visa for a FIG research report?

Answer: Visa is one of the cleanest examples of financial infrastructure within FIG. It is tied to financial institutions and money movement, but it does not take credit risk like a bank. That makes it ideal for demonstrating a FIG mindset: you can analyze network economics, regulation, payment flows, client incentives, transaction volume, cross-border exposure, and valuation multiples without relying only on bank balance sheet metrics.

Q2. What is Visa's business model in one sentence?

Answer: Visa monetizes global digital payment flows by providing the network, authorization, clearing, settlement, tokenization, fraud, risk, and value-added services that connect issuers, acquirers, merchants, consumers, and fintechs.

Q3. Does Visa earn interchange?

Answer: Visa does not receive interchange in the way issuers do. Interchange is generally paid by acquirers to issuers. Visa earns network, processing, cross-border, and service fees, and it records client incentives as contra-revenue. That distinction is important because interchange regulation affects the ecosystem, but Visa's direct revenue model is different.

Q4. What are the most important KPIs for Visa?

Answer: Payments volume, processed transactions, cross-border volume excluding intra-Europe, client incentives as a percentage of gross revenue, value-added services revenue, tokenized transaction penetration, Visa Direct transactions, and non-GAAP operating margin. These KPIs link directly to Visa's revenue streams and margin sustainability.

Q5. Why does Visa trade at a premium to merchant processors?

Answer: Visa has a higher-quality economic model: global network effects, higher margins, lower capital intensity, less integration risk, less direct merchant-by-merchant pricing pressure, and limited credit exposure. Merchant processors can be good businesses, but they often face more direct pricing competition, software integration issues, and client churn risk.

Q6. What is the biggest debate in the Visa thesis?

Answer: The debate is whether alternative rails, regulation, and stablecoins structurally compress card-network economics, or whether Visa adapts by becoming the security, tokenization, identity, routing, and interoperability layer for all forms of digital commerce. My thesis is that Visa is better positioned than most incumbents because it is actively building into AI, tokenization, stablecoins, and value-added services.

Q7. How did you value Visa?

Answer: I used a peer-multiple framework rather than a false-precision DCF. I estimated FY2027E non-GAAP EPS and applied a 26.5x target P/E multiple, supported by a peer check against Mastercard and a broader payments comp set. The implied 12-month target is approximately \$380, with bear/base/bull cases of about \$310, \$380, and \$450.

Q8. Why not use price-to-book like a bank?

Answer: Visa is not a balance-sheet lender. Book value is not the right primary valuation metric because Visa's value comes from intangible network effects, acceptance, data, technology, brand, and high-margin cash flow generation. P/E, EV/EBITDA, and FCF yield are more relevant.

Q9. What would make you wrong?

Answer: I would be wrong if regulation materially reduces network economics, if alternative rails gain adoption faster than Visa can monetize, if client incentives accelerate and absorb gross revenue growth, if cross-border travel slows materially, or if VAS grows but compresses margins.

Q10. How is this relevant to FIG investment banking?

Answer: FIG bankers need to understand financial infrastructure, networks, processors, fintechs, regulatory risk, and the economics of money movement. Visa is a payments-sector bellwether. Analyzing Visa helps build the same skills used in FIG M&A, IPOs, debt financing, strategic advisory, and sponsor coverage for payments and fintech companies.

Sources

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5. Reuters, Visa Q2 FY2026 results: <https://www.reuters.com/business/visa-quarterly-profit-rises-robust-card-spending-volumes-2026-04-28/>
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